Category
Financial Reporting Quality

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WARNING SIGNS

Learning Outcome

- describe accounting warning signs and methods for detecting manipulation of information in financial reports

The choices management makes to achieve desired results leave a trail, like tracks in sand or snow. The evidence, or warning signs, of information manipulation in financial reports is directly linked to the basic means of manipulation: biased revenue recognition and biased expense recognition. The bias may relate to timing or location of recognition. An example of the timing issue is that a company may choose to defer expenses by capitalizing them. Regarding location, it may recognize a loss in other comprehensive income or directly through equity, rather than through the profit and loss statement. The alert investor or analyst should do the following to identify the warning signs.

Pay Attention to Revenue

The single largest number on the income statement is revenue, and revenue recognition is a recurring source of accounting manipulation and even outright fraud. Answering the question, "Is revenue higher or lower than the previous comparable period?" is not sufficient. Many analytical procedures can be routinely performed to identify warning signals of malfeasance:

- *Examine the accounting policies note for a company's revenue recognition policies.*
- Consider whether the policies make it easier to prematurely recognize revenue, such as recognizing revenue immediately upon shipment of goods, or if the company uses bill-and-hold arrangements whereby a sale is recognized before goods actually are shipped to the customer.
- Barter transactions may exist, which can be difficult to value properly.
- Rebate programs involve many estimates, including forecasts of the amount of rebates that ultimately will be incurred, which can have significant effects on revenue recognition.
- Multiple-deliverable arrangements of goods and services are common, but clarity about the timing of revenue recognition for each item or service delivered is necessary for the investor to be comfortable with the reporting of revenues.

Although none of these decisions necessarily violates accounting standards, each involves significant judgement and warrants close attention if other warning signs are present.

- *Look at revenue relationships.* Compare a company's revenue growth with its primary competitors or its industry peer group.
- If a company's revenue growth is out of line with its competitors, its industry, or the economy, the investor or analyst needs to understand the reasons for the outperformance. It may be a result of superior management or products and services, but not all management is superior, nor are the products and services of their companies. Revenue quality might be suspect, and the investor should take additional analytical steps.
- Compare accounts receivable with revenues over several years.
  - Examine the trend to determine whether receivables are increasing as a percentage of total revenues. If so, a company might be engaging in channel-stuffing activities, or worse, recording fictitious sales transactions.
  - Calculate receivables turnover for several years:

is an outlier.

An increase in DSO or decrease in receivables turnover could suggest that some revenues are recorded prematurely or are even fictitious, or that the allowance for doubtful accounts is insufficient.

- Examine asset turnover. If a company's managers make poor asset allocation choices, revenues may not be sufficient to justify the investment. Be particularly alert when asset allocation choices involve acquisitions of entire companies. If post-acquisition revenue generation is weak, managers might reach for revenue growth anywhere it can be found. That reach for growth might result in accounting abuses.

Revenues, divided by total assets, indicate the productivity of assets in generating revenues. If the company's asset turnover is continually declining, or lagging the asset turnover of competitors or the industry, it may portend future asset write-downs, particularly in the goodwill balances of acquisitive companies.

Pay Attention to Signals from Inventories

Although inventory is not a component of every company's asset base, its presence creates an opportunity for accounting manipulation.

- *Look at inventory relationships.* Because revenues involve items sold from inventory, the kind of examination an investor should perform on inventory is similar to that for revenues.
- Compare growth in inventories with competitors and industry benchmarks. If a company's inventory growth is out of line with its peers, without any concurrent sales growth, then it simply may be the result of poor inventory management—an operational inefficiency that might affect an investor's view of a company. It also may signal obsolescence problems in the company's inventory that have not yet been recognized through markdowns to the inventory's net realizable value. Reported gross and net profits could be overstated because of overstated inventory.
- Calculate the inventory turnover ratio. This ratio is the cost of sales divided by the average ending inventory. Declining inventory turnover could also suggest obsolescence problems that should be recognized.
- Companies reporting under US GAAP may use LIFO inventory cost flow assumptions. When this assumption is part of the accounting policies, and a company operates in an inflationary environment, investors should note whether old, low-cost inventory costs have been passed through current earnings and artificially improved gross, operating, and net profits.

Pay Attention to Capitalization Policies and Deferred Costs

In a study of enforcement actions over a five-year period, the SEC found that improper revenue recognition was the most prevalent accounting issue.[28] Suppression of expenses was the next most prevalent problem noted. As the earlier discussion of WorldCom showed, improper capitalization practices can result in a significant misstatement of financial results.

- *Examine the company's accounting policy note for its capitalization policy for long-term assets, including interest costs, and for its handling of other deferred costs.* Compare the company's policy with the industry practice. If the company is the only one capitalizing certain costs while other industry participants treat them as expenses, a red flag is raised. If an outlier company of this type is encountered, it would be useful to cross-check such a company's asset turnover and profitability margins with others in its industry. An investor might expect such a company to be more profitable than its competitors, but the investor might also have lower confidence in the quality of the reported numbers.

Pay Attention to the Relationship between Cash Flow and Net Income

possibility is that aggressive accrual accounting policies have shifted current expenses to later periods. Increasing earnings in the presence of declining cash generated by operations might signal accounting irregularities.

- *Construct a time series of cash generated by operations divided by net income.* If the ratio is consistently below 1.0 or has declined repeatedly, the company's accrual accounts may have problems.

Look for Other Potential Warnings Signs

Other areas that might suggest the need for further analysis include the following:

- *Depreciation methods and useful lives.* As discussed earlier, selection of depreciation methods and useful lives can greatly influence profitability. An investor should compare a company's policies with those of its peers to determine whether it is particularly lenient in its effects on earnings. Investors should likewise compare the length of depreciable lives used by a company with those used by its peers.
- *Fourth-quarter surprises.* An investor should be suspicious of possible earnings management if a company routinely disappoints investors with poor earnings or overachieves in the fourth quarter of the year when no seasonality exists in the business. The company may be over- or under-reporting profits in the first three quarters of the year.
- *Presence of related-party transactions.* Related-party transactions often arise when a company's founders are still very active in managing the company, with much of their wealth tied to the company's fortunes. They may be more biased in their view of a company's performance because it relates directly to their own wealth and reputations, and they may be able to transact business with the company in ways that may not be detected. For instance, they may purchase unsellable inventory from the company for disposal in another company of their own to avoid markdowns.
- *Non-operating income or one-time sales included in revenue.* To disguise weakening revenue growth, or just to enhance revenue growth, a company might classify non-operating income items into revenues or fail to clarify the nature of revenues. In the first quarter of 1997, Sunbeam Corporation included one-time disposal of product lines in sales without indicating that such non-recurring sales were included in revenues. This inclusion gave investors a false impression of the company's sustainable revenue-generating capability.
- *Classification of expenses as "non-recurring."* To make operating performance look more attractive, managers might carve out "special items" in the income statement. Particularly when these items appear period after period, equity investors might find their interests best served by not accepting the carve-out of serial "special items" and instead focusing on the net income line in evaluating performance over long periods.
- *Gross/operating margins out of line with competitors or industry.* This disparity is an ambivalent warning sign. It might signal superior management ability. But it might also signal the presence of accounting manipulations to add a veneer of superior management ability to the company's reputation. Only the compilation and examination of other warning signals will enable an investor or analyst to decide which signal is being given.

Warning signals are just that: signals, not indisputable declarations of accounting manipulation guilt. Investors and analysts need to evaluate them cohesively, not on an isolated basis. When an investor finds a number of these signals, the investee company should be viewed with caution or even discarded in favor of alternatives.

Furthermore, as discussed earlier, context is important in judging the value of warning signals. A few examples of facts and circumstances to be aware of are as follows.

- *Younger companies with an unblemished record of meeting growth projections.* It is plausible, especially for a younger company with new and popular product offerings, to

means. At this point, the "earnings games" begin, including aggressive estimates, drawing down "cookie jar" reserves, selling assets for accounting gains, taking on excess leverage, or entering into financial transactions with no apparent business purpose other than financial statement "window dressing."

- *Management has adopted a minimalist approach to disclosure.* Confidence in accounting quality depends on disclosure. If management does not seem to take seriously its obligation to provide information, one needs to be concerned. For example, for a large company, management might claim that it has only one reportable segment, or its commentary might be similar from period to period. A plausible explanation for minimalist disclosure policies could be that management is protecting investors' interests by withholding valuable information from competitors. But, this is not necessarily the case. For example, after Sony Corporation acquired CBS Records and Columbia Pictures, it incurred substantial losses for a number of years. Yet, Sony chose to hide its negative trends and doubtful future prospects by aggregating the results within a much larger "Entertainment Division." In 1998, after Sony ultimately wrote off much of the goodwill associated with these ill-fated acquisitions, the SEC sanctioned Sony and its CFO for failing to separately discuss them in the MD&A in a balanced manner.[29]
- *Management fixation on earnings reports.* Beware of companies whose management appears to be fixated on reported earnings, sometimes to the detriment of attending to real drivers of value. Indicators of excessive earnings fixation include the aggressive use of non-GAAP measures of performance, special items, or non-recurring charges. Another indicator of earnings fixation is highly decentralized operations in which division managers' compensation packages are heavily weighted toward the attainment of reported earnings or non-GAAP measures of performance.

Company Culture

A company's culture is an intangible that investors should bear in mind when they are evaluating financial statements for the possibility of accounting manipulation. A management's highly competitive mentality may serve investors well when the company conducts business (assuming that actions taken are not unethical, illegal, or harmfully myopic), but that kind of thinking should not extend to communications with the owners of the company: the shareholders. That mentality can lead to the kind of accounting gamesmanship seen in the early part of the century. In examining financial statements for warning signs of manipulation, the investor should consider whether that mindset exists in the preparation of the financial statements.

One notable example of this mindset comes from one of the most recognized corporate names in the world, General Electric. In the mid-1980s, GE acquired Kidder Peabody, and it was ultimately determined that much of the earnings that Kidder had reported were bogus. As a consequence, GE announced within two days of the acquisition that it would take a non-cash write-off of USD350 million. Here is how former CEO/Chair Jack Welsh described the ensuing meeting with senior management in his memoir, *Straight from the Gut*:

> *The response of our business leaders to the crisis was typical of the GE culture [emphasis added]. Even though the books had closed on the quarter, many immediately offered to pitch in to cover the Kidder gap. Some said they could find an extra USD10 million, USD20 million, and even USD30 million from their businesses to offset the surprise. Though it was too late, their willingness to help was a dramatic contrast to the excuses I had been hearing from the Kidder people. (page 225)*

It appears that the corporate governance apparatus fostered a GE culture that extended the concept of teamwork to the point of "sharing" profits to win one for the team as a whole, which is incompatible with the concept of neutral financial reporting. Although research is not conclusive on this question, it may be worth considering that predisposition

Finally, one could discuss whether the financial reporting environment today would reward or penalize a CEO who openly endorsed a view that he or she could legitimately exercise financial reporting discretion—albeit within limits—for the purpose of artificially smoothing earnings.

Restructuring or Impairment Charges

At times, a company's stock price has been observed to rise after it recognized a big bath charge to reported earnings. The conventional wisdom explaining the stock price rise is that accounting recognition signals something positive: that management is now ready to part with the lagging portion of a company, so as to redirect its attention and talents to more profitable activities. Consequently, the earnings charge should be disregarded for being solely related to past events.

The analyst should also consider, however, that the events leading ultimately to the big bath on the financial statements did not happen overnight, even though the accounting for those events occurs at a subsequent point. Management may want to communicate that the accounting adjustments reflect the company's new path, but the restructuring charge also indicates that the old path of reported earnings was not real. In particular, expenses reported in prior years were very likely understated—even assuming that no improper financial statement manipulation had occurred. To extrapolate historical earnings trends, an analyst should consider making pro forma analytical adjustments to prior years' earnings to reflect a reasonable division of the latest period's restructuring and impairment charges.

Management Has a Merger and Acquisition Orientation

Tyco International Ltd. acquired more than 700 companies from 1996 to 2002. Even assuming the best of intentions regarding financial reporting, a growth-at-any-cost corporate culture poses a severe challenge to operational and financial reporting controls. In Tyco's case, the SEC found that it consistently and fraudulently understated assets acquired (lowering future depreciation and amortization charges) and overstated liabilities assumed (avoiding expense recognition and potentially increasing earnings in future periods).[30]

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